Candidates' Name……...…….

Signature: ……...……

Random No.					Personal No.		

(Do not write your school name/center name any Where on this page)

Entrepreneurship Education
P230/2
Jul/Aug, 2026
3hours

KAMTEC EXAMINATIONS BOARD

Uganda Advanced Certificate of Education

ENTREPRENEURSHIP EDUCATION

PAPER 2

CONSTRUCT 2: MANAGING THE BUSINESS FOR SUSTAINABILITY

Time:3hours

INSTRUCTIONS TO CANDIDATES

This paper consists of 2 sections; A and B.

Section A is compulsory and attempt at least one item from Section B.

Credit will be given for use relevant examples and illustrations.

Turn over

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SECTION A

Item 1.

Wako fruit juice factory produces different kind of juice to be supplied in super markets, schools, hotels across the country. Over the past two years, the business has experienced rapid growth due to increase demand for natural fruit juice. However, the company has started facing serious production challenges which include raw materials sometimes arrive late yet their expensively supplied, the farmer demand immediate payments for raw materials, sometimes the managements find it difficult to communicate to the farmer since there is poor network in the area which is over 400km from the business premises, during festive seasons when demand increases, the farmer sometimes supplies rotten fruits to the factory.

Quantities supplied are less than those ordered, the farmer can even take one month without supplying the required inputs. So, this is affecting the smooth running of the business and customers are opting to buy the juice from other producers. This has scared the board of directors and is opting to get a new farmer but they don't know how best they can do it.

The directors of the company would love to lobby for a cash donation from non-government organization but the donors need to first confirm if the business is profitable though the accountant is failing to provide astatement that reflect profitability of a business but instead just availed the records kept during a trading period of 31 st December 2024 as below.

On 1st January 2024, the available juice in the store valued at UGX.1,000, 000.Throughout the year, he made bulk purchases worth 1600,000 forfruits incurring transport costs worth Ugx. 200,000 to deliver the fruits to the factory with loading expenses worth 40,000. Her total amount of juice sold during the trading period worth ugx 4,000,000 but juice worth ugx. 60,000 was returned by some customers due to expiry. Capital invested is ugx 10,000,000.

Transport allowance offered to customers worth ugx 100,000. Monthly salaries worth ugx10,000 but arrears for previous trading period were worth ugx. 30,000. Purchased anew delivery van worth ugx 200,000 but it had depreciated by 5 % at the end of the trading period.

Task

Using the knowledge, you acquired when operating business club activities at school

a)Advise the Board of directors on the basis to follow when making a decision to opt for a new farmer so that they can have continuous production

b) Prepare an appropriate financial statement that reflect the profitability of a business and determine whether they can continue operating the business or not basing on the capital invested.

Item 2

Delta furniture works produces wooden chairs and tables for schools and offices. The factory runs a small production line with 15 workers and delivers monthly. Lately production has been disrupted because they frequently run out of wood planks with excess finished chairs still sitting in the warehouse unsold.

The store keeper also keeps ordering large amounts of nails, glue and vanish but these materials are now expiring and taking up space. There is no clear records for the quantity of chairs produced in the store and some customer orders are delayed because the right type of wood want ordered in the time. The production manager would love to ensure proper

management of stock at a desired level to promote business performance but most of the employes lack knowledge about the need for such practices.

There is great decline in sales and the proprietors are planning to get a loan in January 2025 worth ugx 2,100,000 as a strategy to regain the business financial health but the loan's officer is interested in the net cash position of the business before the request is granted but the workshop accountant is failing to provide it. Other additional information for the months of January, February, March and April is instead availed to you for technical assistance.

-Projects to sell 10 tables each ugx 200,000 every month. Cash collection of 40% is received and the balance to be received in the following months.

-Purchase 20 pieces of wood worth ugx 500,000 in every month on credit but payments were projected to be made in the forthcoming months of purchase

but it was unable to settle payments for the last month. Such an arrangement started in December 2024

-Projects to pay the loan in three equal installments monthly at an annual interest rate of 12% using a straight-line method.

-A table worth ugx 100,000 was picked by the proprietor for home use.

-An old motor van was disposed in January worth 4000,000 but 50% ofcash was received and the balance in the ratio of 1:1 in the forthcoming months.

Task

(aUsing the knowledge, you acquired when operating school business club, inform the employees of Delta furniture workshop the need to keep stock at a desired level.

b) Determine the net cash position of a business and comment of the performance of a business and present your recommendation. Whether the loan's officer should grant a loan to Delta furniture work shop

SECTION B
(Chose one item from this section)

Item 3

Pure Bakery Ltd has been operating in Kampala for the last eight years. The bakery is located in Nakawa Industrial Area, P.O. Box 244 Kampala, Tel:0777123455. It produces bread, cakes, doughnuts, buns and cookies supplied to schools, supermarkets, restaurants and retail shops within Kampala and nearby districts. Due to population growth and increasing demand for baked products, the bakery management plans to expand its market share. However, the business faces stiff competition from other bakeries that use aggressive advertising, attractive packaging and efficient delivery services. The bakery currently uses vans and wholesalers to distribute products, sells both on cash and credit terms. The bakery charges 10% less compared to its competitors. It spends approximately UGX 12,000,000 on advertising, promotion, sales commissions and packaging branding. The management is planning to analyze the market position and opportunities of the business.

The business has also experienced labour –related challenges. Skilled bakers and machine operators are leaving for competitors offering better salaries, while permanent workers complain about unequal pay despite differences in qualifications, workload, experience, employment terms, increased inflation rate in the area, risks involved in operating bakery equipment and working night shifts. Rising living costs have also affected employee morales. The management had a policy of paying all the workers

almost the same little pay. This made some of the workers look for better pay elsewhere which is now affecting the quality of output and even delayed production. So the shareholders are planning to revise the payment structure and pay their workers well but don't know how best they can make it. They contacted you for assistance.

Task

a). Develop a plan the management is to use when analyzing the possible position and opportunities of the business in the market.

b). Advise the Shareholders on the basis to follow when determining the new payment structure.

Item 4.

Amongo runs a small agri business that process and package local grown tomatoes into tomatoe paste in packed tins and bottles for sale in city suburbs of Wakiso in kakiri 2kms off Kampala Hoima Road mainly sells it to lacal community schools, markets and supermarkets' customers like her toamatoe sauce because it tastes fresher, lasts longer when opened, blended with unique flavaours yet charged at a pocket friendly price.

The business aims at improving on healthy of individuals within at least the first year of business operations.

It also plans to sell well processed and packed tomatoe sauce paste to health-conscious market, projected to grow by 10% with in the first year of business operations and also opens

up at least 2 branches in nearby areas.

Amongo plans to buy a large machine and hire 2 employees to expand supply in supermarkets. She plans to acquire a loan worth ugx 2000,000 as a strategy to meet the expansion needs and when presented her application for a loan to a micro finance loan's officer, the loan's officer asked for a summary that brings out an over view about the business operations but Amango realized that she had never came up with something similar to that and has no knowledge about how it is done.

Customers complain about a few product options and some are unaware about new brands on market, much water content in the sauce packed in light and unattractive bottles and some branches don't work on weekends and the business has on social media platform yet prices are high compared to other competitors. As a result, customer loyalty has been lost and now shifting to other competitors. This has made Amongo more worried and restless about the situation and she is engaging you for technical assistance.

Task; Using the knowledge you acquired during field trip.

(a)Help Among to respond to the bank's requirement.

(b)Regain customer loyalty.

END